

Justification and Approval Notice

SUBJECT* Omnicell Pharmacy Cabinets

GENERAL INFORMATION

CONTRACTING OFFICE'S ZIP CODE*	49037
SOLICITATION NUMBER*	36C25025Q0316
DELIVERY/TASK ORDER NUMBER	36C25025N0495
BASE NOTICE TYPE	S
ARCHIVE	60 DAYS AFTER THE RESPONSE DATE
RECOVERY ACT FUNDS	N
PRODUCT SERVICE CODE*	6530
NAICS CODE*	339112
CONTRACTING OFFICE ADDRESS	Department of Veteran Affairs Network Contracting Office 10 Battle Creek VA Medical Center 5500 Armstrong Rd. Battle Creek MI 49037
POINT OF CONTACT*	Contracting Officer Jeffrey Rozema jeffrey.rozema@va.gov 269-966-5600 x36450

AWARD INFORMATION

STATUTORY AUTHORITY*	Only One Source (except brand name)
AWARD NUMBER*	36F79723D0073
MODIFICATION NUMBER	
AWARD AMOUNT*	\$1,569,347.31

***= Required Field**

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LINE ITEM NUMBER	18
AWARD DATE (MM-DD-YYYY)*	03-27-2025
AWARDEE NAME*	OMNICELL, INC.
CONTRACTOR'S UEI	L5KFJWBTBJDN5
AWARDEE ADDRESS LINE 1*	
AWARDEE ADDRESS LINE 2*	
AWARDEE ADDRESS LINE 3*	500 CRANBERRY WOODS DR
AWARDEE ADDRESS LINE 4*	
AWARDEE CITY	CRANBERRY TOWNSHIP
AWARDEE STATE	PA
AWARDEE ZIP CODE	16066

ADDITIONAL INFORMATION

AGENCY'S URL	https://www.va.gov
URL DESCRIPTION	Agency Homepage
AGENCY CONTACT'S EMAIL ADDRESS	jeffrey.rozema@va.gov
EMAIL DESCRIPTION	Contracting Officer

Justification and Approval Notice

DESCRIPTION

LIMITED SOURCES JUSTIFICATION

ORDER >SAT

[FAR PART 8.405-6](#)

Acquisition Plan Action ID: 36C250-25-AP-0460

(1) Contracting Activity: Department of Veterans Affairs, Network Contracting Office 10, located at 5500 Armstrong Road, Battle Creek, MI 49037, in support of VISN 10 Ann Arbor VA Healthcare System at 2215 Fuller Road, Ann Arbor, MI 48105.
2237: 506-25-1-118-0020

(2) Description of Action: This acquisition is conducted under the authority of the Multiple-Award Schedule Program ([41 U.S.C. 152\(3\)](#) and [40 U.S.C. 501](#)). New requirement for Omnicell pharmacy cabinets.

Order against: ☒ FSS Contract Number: 36F79723D0073 (Expires February 29, 2028)

Name of Proposed Contractor: Omnicell, Inc.

Street Address: 590 Cranberry Woods Drive

City, State, Zip: Cranberry Township, PA 16066

Phone: 817-239-0308

(3) Description of Supplies or Services:

The estimated value of the proposed action is \$1,572,035.06.

VA Ann Arbor Healthcare System (VAAAHS) Pharmacy Service uses Automated Dispensing Cabinets to store and dispense medications within the nursing units and to all associated clinics. The VAAAHS Pharmacy Service has been undergoing a modernization effort per VHA Directive 1108.12 and United States Pharmacopeia 800 (USP 800) to convert all outdated systems for replacement and to upgrade all IT

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operating systems to Windows 10. To support this effort, the following equipment, including installation and implementation, is required. The estimated period of performance is 180 days after receipt of order.

<u>ITEM NO.</u> <u>UNIT COST</u>	<u>DESCRIPTION</u>	<u>QUANTITY</u>	<u>UNIT</u>	<u>ESTIMATED</u>
ANT-DRW-005 \$3,883.42	FLEXBIN 2222,XT SNGLDOSE DRW GUIDELIGHT	3	EA	
ANT-DRW-006 \$3,883.42	FLEXBIN 3131,XT SNGLDOSE DRW GUIDELIGHT	3	EA	
ANT-DRW-009 \$2,822.11	DRAWER,12 BIN LOCKING,AWS-XT	3	EA	
ANT-FRM-006 \$25,748.74	XT ANESTHESIA WORKSTATION W-BIO ID	3	EA	
ANT-OPT-023 \$470.35	PANEL,EMERGENCY BREAKAWAY,AWS-XT	3	EA	
ANT-OPT-025 \$54.87	TILT 4-BIN ORGANIZER,AWS-XT	3	EA	
ANT-OPT-026 \$54.8700	TILT 5-BIN ORGANIZER,AWS-XT	3	EA	
ANT-OPT-027 \$54.8700	TILT 6-BIN ORGANIZER,AWS-XT	3	EA	
ANT-SCN-009 \$1,477.39	2D ITEM SCAN,AWS-XT	3	EA	
MED-DRW-010 \$1,597.99	OPEN CONFIGURABLE DRAWER	12	EA	
MED-DRW-009 \$3,274.37	METAL LOCKING DRAWER	207	EA	
MED-FRM-101 \$24,627.02	XT MED 1-CELL CABINET Solution includes: *XT MED 1-CELL CABINET *XT CONSOLE- BIOID, MED LBL a. RCPT PRNTR *SW LICENSE- PROFILE OPTION *SW	6	EA	

VHAPG Part 808.405-6 Limiting Sources

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Acquisition ID#: 36C250-25-AP-0460

LICENSE- SCHEDULED MEDS *XT SCANNER,
WIRED 1,2,3 CELL

MED-FRM-102 XT MED 2-CELL CABINET Solution	8	EA
\$29,770.74		

includes: *XT MED 2-CELL CABINET *XT
CONSOLE- BIOID, MED LBL a. RCPT PRNTR
*SW LICENSE- PROFILE OPTION *SW
LICENSE- SCHEDULED MEDS *XT SCANNER,
WIRED 1,2,3 CELL

MED-FRM-103 XT MED 3-CELL CABINET Solution	4	EA
\$47,155.67		

includes: *XT MED 3-CELL CABINET *XT
CONSOLE- BIOID, MED LBL a. RCPT PRNTR
*SW LICENSE- PROFILE OPTION *SW
LICENSE- SCHEDULED MEDS *XT SCANNER,
WIRED 1,2,3 CELL

MED-FRM-106 XT MED 1-4-HEIGHT CABINET Solution	1	EA
\$16,600.99		

includes: *XT MED 1-4-HEIGHT CABINET
*XT CONSOLE- BIOID, MED LBL a. RCPT
PRNTR *SW LICENSE- PROFILE OPTION *SW
LICENSE- SCHEDULED MEDS *XT SCANNER,
WIRED 1-2 a. 1- 4 HEIGHT

MSA-LIC-009 WIN10 PREMIUM O/S PACKAGE	22	EA
\$4,775.88		

SRD-OPT-012 XT FLEXLOCK WITH 50 FT	20	EA
\$2,422.11		
CABLE,INSTALLED		

SUP-OTH-002 XT PULLOUT SHELF	32	EA
\$470.35		

TOTAL COST:

\$1,572,035.06

(4) Identify the Authority and Supporting Rationale (see below and if applicable, a demonstration of the proposed contractor's unique qualifications to provide the required supply or service).



[FAR 8.405-6\(a\)\(1\)\(A\)](#): An urgent and compelling need exists and following the ordering procedures would result in unacceptable delays:

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Acquisition ID#: 36C250-25-AP-0460

☒ [FAR 8.405-6\(a\)\(1\)\(B\)](#): Only one source is capable of providing the supplies or services required at the level of quality required because the supplies or services are unique or highly specialized; The upgraded automated dispensing cabinets, combined with the recently installed packaging system, are designed to maximize workflow efficiency while promoting patient safety. Adding to and upgrading our current infrastructure with Omnicell units will optimize inventory, enabling a just-in-time (JIT) working model which reduces missing doses. This will minimize risks associated with drug diversion and medication errors, enhance patient safety, and protect the facility, veteran, and Government.

All equipment and software systems associated with Omnicell are proprietary. Omnicell is the only company able to provide this particular automated dispensing solution to compliment the current Omnicell automated dispensing solutions in place. To replace Omnicell with another vendor solution would be cost prohibitive and not in the best interest of the government.

☐ [FAR 8.405-6\(a\)\(1\)\(C\)](#): In the interest of economy and efficiency, the new work is a logical follow-on to an original Federal Supply Schedule order provided that the original order was placed in accordance with the applicable Federal Supply Schedule ordering procedures. The original order must not have been previously issued under sole source or limited source procedures.

☐ [FAR 8.405-6\(b\)](#): Items peculiar to one manufacturer:

☐ A patent, copyright or proprietary data limits competition. The proprietary data is:

☐ These are "direct replacements" parts/components for existing equipment.

☐ The material/service must be compatible in all aspects (form, fit and function) with existing systems presently installed/performing.

(5) Describe Why You Believe the Order Represents the Best Value consistent with FAR 8.404(d) to aid the contracting officer in making this best value determination: The required products are available on VA FSS contract 36F79723D0073 with Omnicell, Inc. Pricing has already been determined to be fair and reasonable by the VA NAC Contracting Officer. In accordance with FAR 8.405-4, additional price reductions will be sought.

(6) Describe the Market Research Conducted among schedule holders and the results or a statement of the reason market research was not conducted: VetCert was searched under NAICS 339112 and 670 potential SDVOSB/VOSB's were found. A search was conducted in DSBS using NAICS 339112 and keywords "Pharmacy Dispensing Cabinets" and zero concerns were found. GSA Advantage and the VA MedSurg Catalog were searched using the required Omnicell part numbers and one source was found, Omnicell, Inc., the OEM, under VA FSS contract 36F79723D0073. The Government confirmed that Omnicell has one distributor, Trillamed, an SDVOSB,

which can only provide on the open market. The VA Rule of Two and the SBA Rule of Two cannot be attained. Also, due to the NMR, an SDVOSB sole source is not possible without an individual NMR waiver. Omnicell, Inc. is a large business.

(7) Any Other Facts Supporting the Justification: None

(8) A Statement of the Actions, if any, the agency may take to remove or overcome any barriers that led to the restricted consideration before any subsequent acquisition for the supplies or services is made: Omnicell products are essential to the functions of the VAAAHS

Pharmacy and other clinical departments. Their equipment will continue to be procured and

utilized throughout the VAAAHS. Upon replacement of equipment, market research will be performed to confirm the need for Omnicell equipment. Should Omnicell products be required, the market will be re-surveyed to see if the circumstances requiring limiting competition have changed.

DEPARTMENT OF VETERANS AFFAIRS

SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL ITEMS IN ACCORDANCE WITH FAR 13.5

Acquisition Plan Action ID: 36C250-25-AP-0460

1. **Contracting Activity:** Department of Veterans Affairs, Network Contracting Office 10, located at 5500 Armstrong Road, Battle Creek, MI 49037, in support of VISN 10, Lieutenant Colonel Charles S. Kettles VA Medical Center, 2215 Fuller Road, Ann Arbor, MI 48105.

2237: 506-25-1-118-0020

2. **Nature and/or Description of the Action Being Processed:** This is a request for other than full and open competition for a sole source procurement to obtain Omnicell pharmacy dispensing cabinets in accordance with FAR 13.5 Simplified Procedures for Certain Commercial Items and specifically FAR 13.501 Special Documentation Requirements, where acquisitions conducted under Simplified Acquisition Procedures are exempt from the requirements of FAR Part 6, but still require a justification using the format of FAR 6.303-2. The Omnicell pharmacy dispensing cabinets are open market items currently pending addition to Omnicell, Inc.'s FSS contract 36F79723D0073. The required cabinets will be included in a larger FSS order in accordance with FAR 8.402(f). The anticipated order period of performance is April 1, 2025, through December 31, 2025. The estimated value of the open market items is \$578,532.31.
3. **Description of Supplies/Services Required to Meet the Agency's Needs:** VA Ann Arbor Healthcare System (VAAAHS) Pharmacy Service uses Automated Dispensing Cabinets to store and dispense medications within the nursing units and to all associated clinics. The VAAAHS Pharmacy Service has been undergoing a modernization effort per VHA Directive 1108.12 and United States Pharmacopeia 800 (USP 800) to convert all outdated systems for replacement and to upgrade all IT operating systems to Windows 10. To support this effort, the following open market equipment, including installation and implementation, is required. The estimated period of performance is 6-9 months after receipt of order.

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Acquisition ID#: 36C250-25-AP-0460

MED-FRM-501	MED 1-CELL CABINET (XTE 2.0)	6 EA	\$22,395.96	\$134,375.76
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Solution includes:

*MED 1-CELL CABINET (XTE 2.0)

*XTEXTEND
CONSOLE, FULL
HEIGHT

*XT SCANNER, WIRED
1,2,3 CELL

*SW LICENSE-
PROFILE OPTION

*SW LICENSE-
SCHEDULED MEDS

MED-FRM-502	MED 2-CELL CABINET (XTE 2.0)	9 EA	\$27,539.68	\$247,857.12
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Solution includes:

*MED 2-CELL CABINET (XTE 2.0)

*XT SCANNER, WIRED
1,2,3 CELL

*XTEXTEND
CONSOLE, FULL
HEIGHT

*SW LICENSE-
PROFILE OPTION

*SW LICENSE-
SCHEDULED MEDS

VHAPG Part 813.5 Simplified Acquisition Procedures for Certain Commercial Items
Attachment 1: Request for Sole Source Justification Template >SAT-\$7.5M under FAR13.5

MED-FRM-503	MED 3-CELL CABINET (XTE 2.0)	4 EA	\$44,924.61	\$179,698.44
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Solution includes:

*MED 3-CELL CABINET (XTE 2.0)

*XT SCANNER, WIRED 1,2,3 CELL

*XTEXTEND CONSOLE, FULL HEIGHT

*SW LICENSE-PROFILE OPTION

*SW LICENSE-SCHEDULED MEDS

MED-FRM-506	MED 1/4-HEIGHT CABINET (XTE	1 EA	\$16,600.99	\$16,600.99
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2.0) Solution includes Mounting Baseplate Kit per installation requirements Solution includes:

*MED 1/4-HEIGHT CABINET (XTE 2.0)

*XT SCANNER, WIRED 1-2 a. 1-

4 HEIGHT

*XTEXTEND CONSOLE, HALF-HEIGHT

*SW LICENSE-PROFILE OPTION

*SW LICENSE-SCHEDULED MEDS

4. Statutory Authority Permitting Restricted Competition:

FAR 13.5 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 13.5 is 41 U.S.C. § 1901 and is implemented by FAR 13.106-1(b)(2) for restricting competition on this procurement.

Competition is restricted on this procurement for the reason below:

- ☒ Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements
- ☐ Unusual and Compelling Urgency
- ☐ Industrial Mobilization, Engineering, Developmental or Research Capability or Expert Services
- ☐ International Agreement
- ☐ Authorized or Required by Statute
- ☐ National Security
- ☐ Public Interest

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

The upgraded automated dispensing cabinets, combined with the recently installed packaging system, are designed to maximize workflow efficiency while promoting patient safety. Adding to and upgrading our current infrastructure with Omnicell units will optimize inventory, enabling a just-in-time (JIT) working model which reduces missing doses. This will minimize risks associated with drug diversion and medication errors, enhance patient safety, and protect the facility, veteran, and Government.

The Omnicell dispensing cabinets originally specified for this order (MED-FRM-10X Series), including additional equipment such as drawers, guidelights, organizers, software, locks, and shelves, were scheduled to be ordered from Omnicell, Inc.'s FSS contract 36F79723D0073. Just prior to award, Omnicell discovered the MED-FRM-10X Series cabinets were no longer available for purchase. Functionally equivalent MED-FRM-50X Series cabinets are available but are currently considered open market pending addition to the FSS contract. It is in the Government's best interest to include the open market items in the larger FSS order for administrative convenience in accordance with FAR 8.402(f). Splitting off the open market items from this order will unduly delay award of the dispensing cabinets, which are necessary for a complete and fully functional system. With a delay in the award of the dispensing cabinets, scheduling for installation and activation of the new system would need to be postponed, and it is very likely installation and activation would not occur until next year due to the large number of upgrades occurring throughout VA, causing the Ann Arbor VA Pharmacy to miss their target activation timeline.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable: Market research was conducted, details of which are in the market research section of this document. The effort resulted in two sources capable of providing Omnicell open market items, the OEM, Omnicell, Inc. and their SDVOSB distributor, Trillamed, LLC.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable: The Contracting Officer will ensure that the anticipated cost to the Government will be fair and reasonable. The Contracting Officer will make a fair and reasonable price determination based on a comparison of proposed pricing to historical prices for the dispensing cabinets.

Effective Date: 11/15/24

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8. **Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:** VetCert was searched under NAICS 339112 and 670 potential SDVOSB/VOSB's were found. A search was conducted in DSBS using NAICS 339112 and keywords "Pharmacy Dispensing Cabinets" and zero concerns were found. GSA Advantage and the VA MedSurg Catalog were searched using the required Omnicell part numbers and one source was found, Omnicell, Inc., the OEM, under VA FSS contract 36F79723D0073, with the exception of the dispensing cabinets which are open market items. The Government confirmed that Omnicell has one distributor, Trillamed, LLC, an SDVOSB, which can only provide on the open market. The VA Rule of Two and the SBA Rule of Two cannot be attained. Also, due to the NMR, an SDVOSB sole source is not possible without an individual NMR waiver. Omnicell, Inc. is a large business.
9. **Any Other Facts Supporting the Use of Other than Full and Open Competition:** There are no other supporting facts.
10. **Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:**
- Omnicell, Inc.
590 Cranberry Woods Drive
Cranberry Township, PA 16066
11. **A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:** Omnicell products are essential to the functions of the VAAAHS Pharmacy and other clinical departments. Their equipment will continue to be procured and utilized throughout the VAAAHS. Upon replacement of equipment, market research will be performed to confirm the need for Omnicell equipment. Should Omnicell products be required, the market will be re-surveyed to see if the circumstances requiring limiting competition have changed.

Posting justifications in accordance with FAR Part 8 and FAR Part 13.5 procedures.